

Candidate Name

Centre Number

Candidate Number

**ZIMBABWE SCHOOL EXAMINATIONS COUNCIL**

General Certificate of Education Advanced Level

ACCOUNTING**6001/2**

PAPER 2 Structured Questions

NOVEMBER 2023 SESSION**1 hour 45 minutes**

Candidates answer on the question paper

Additional materials:

No additional materials are required

TIME 1 hour 45 minutes**INSTRUCTIONS TO CANDIDATES**

Write your name, Centre number and candidate number in the spaces at the top of this page.

Answer **all** questions.

Write your answers in the spaces provided on the question paper. If you require extra paper, ask the supervisor for supplementary answer paper.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

You may use a calculator.

The businesses described in this paper are entirely fictitious.

FOR EXAMINER'S USE

1	
2	
3	
4	
TOTAL	

*Musendo Power***This question paper consists of 12 printed pages.**

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[Turn over

- 1 (a) List four causes of depreciation.

[4]

The following balances have been extracted from Abel's books at 31 December 2019:

	Cost	Provision for depreciation	NBV
	\$	\$	\$
Machinery	36 000	19 200	16 800

Transactions for the year ended 31 December 2020:

- May 7 A machine purchased for \$12 000 in 2016 was sold for \$3 000 cash.
 June 3 A machine purchased in 2014 for \$24 000 was traded in for a new machine costing \$20 000 at an agreed value of \$6 000 and the balance in cash.

Machinery is depreciated at 10% per annum on cost. A full year's depreciation is charged in year of purchase and none in the year of disposal.

- (b) For the year ended 31 December 2020, prepare:

- (i) the Machinery account,

[5]



- (ii) the Provision for depreciation of machinery account,

[3]

- (iii) the Machinery disposal account.

[7]

- (c) Explain any **three** accounting concepts which are applied when providing for depreciation.

[6]



[7]

- (ii) Statement of changes in equity for the year ended
31 December 2019.

[9]

- (iii) Statement of financial position **extract** showing **current liabilities** section.

[3]



[2]

[4]

3

	\$
Revenue	28 225
Carriage inwards on raw materials	486
Carriage outwards	500
Factory wages: direct	2 700
indirect	3 000
Other factory overheads	735
Office salaries	595
Purchases of raw materials: direct	2 500
indirect	2 800
Other administration expenses	900
Patent fees	350
Purchase of loose tools	1 500
Freehold premises at cost	16 000
Provision for depreciation on freehold premises	3 000
Plant and machinery at cost	8 000
Provision for depreciation on plant and machinery	2 000
Inventories at 31 December 2019:	
Raw materials	400
Work in progress	284
Loose tools	300
Finished goods at transfer price	350



1. Inventories at 31 December 2020 were as follows:

2. Finished goods are transferred from factory to warehouse at a mark-up of 25%.
3. Other factory overheads of \$220 were in arrears at 31 December 2020.
4. Factory occupies 85% of the freehold premises and the administration offices occupy the remainder.
5. Depreciation is to be provided as follows:

Freehold premises	5% per annum on cost,
Plant and machinery	20% per annum on net book value.

(a) the Manufacturing account,

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[16]

(b) the Income statement.



[9]

4 (a) Define the following:

(i) opportunity cost,

[1]

(ii) sunk cost.

[1]



Anita received a legacy of \$650 000 from her father. She is planning to invest all the money in either Project H or Project L. The projects are expected to have a life span of 5 years.

Expected profits for the projects are as follows:

Year	Project H	Project L
	\$	\$
1	20 000	77 000
2	25 000	63 000
3	35 000	60 000
4	46 000	52 000
5	50 000	45 000
Residual value	25 000	35 000

The net receipts from the projects for the next five years are as follows:

Year	Project H	Project L
	\$	\$
1	145 000	200 000
2	150 000	186 000
3	160 000	183 000
4	171 000	175 000
5	175 000	168 000

The cost of capital is 11%. The discounting factors at 11% are as follows:

Year	1	2	3	4	5
DCF	0,901	0,812	0,731	0,659	0,593

(b) Calculate for both projects:

(i) Accounting rate of return,

[6]



(ii) Payback period.

[6]

(c) Calculate the net present value for Project H.

[8]

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- (d) State with reasons, the project Anita should undertake.

[3]

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